

CFF Fluid Control Ltd - Concall Tracker

Defence engineering (submarine & naval fluid-control systems) | Pune | BSE: CFF / 543920 | Report date: 11 July 2026

1. Snapshot

What the business does (in plain words): CFF Fluid Control designs, builds, and services the "plumbing and pressure" machinery inside Indian Navy submarines and warships - high-pressure air systems, hydraulic and fluid-control panels, breathing/diving-air systems, steering-gear and propulsion parts, and test rigs. Almost all of its work is for Indian defence shipyards (mainly Mazagon Dock) building submarines like the Scorpene/Kalvari (P75) class. In short, it is a niche defence sub-contractor that makes critical hardware for warships and gets paid by government shipyards.

Number (source: Screener)	Value	Plain-English read
Market value of the company	Rs 1,731 Cr	What the whole company is worth on the stock market today.
Sales, FY26 (year to Mar 2026)	Rs 209 Cr	Total revenue for the latest year - up about 43% from Rs 146 Cr last year. Strong growth.
Net profit, FY26	Rs 39 Cr	Final profit after all costs and tax - up about 63% from Rs 24 Cr last year. Profit grew faster than sales.
Operating margin (OPM)	28%	Out of every Rs 100 of sales, Rs 28 is operating profit before interest/tax/depreciation. A healthy, steady margin.
Price-to-earnings (P/E)	44.2	The stock costs ~44x its yearly profit - an expensive, high-expectation price.
Return on capital (ROCE)	23.5%	Earns ~Rs 23.5 profit a year on every Rs 100 of capital used - a good return.
Borrowings, FY26	Rs 20 Cr	Very little debt - the balance sheet is not stretched by loans.
Promoter holding	68.1%	Founders still own two-thirds; down from 73% after a share sale (FPO) in Sept 2025.

2. Concall coverage

No concall (earnings-call) transcripts were available on Screener - this report is based on a global web deep-dive. CFF is a small, recently listed defence company (listed on the BSE SME platform in June 2023) that does not appear to host regular public earnings calls, so there are no transcripts to read the promised-vs-delivered story from. The read below therefore leans on the IPO/FPO prospectus, quarterly result filings, exchange announcements, and credible news.

Sources used: Screener.in financial tables (543920); CFF FPO 2025 prospectus & IPO notes; BSE result filings for Q4/FY26 (board meeting 5 May 2026); exchange order-win announcements (Apr 2026 Rs 78.7 Cr Navy order, Oct 2025 P75 LOIs); news coverage of the Atlas Elektronik sonar partnership; MoneyWorks4Me / broker risk notes. **Caveat:** with no transcripts and a short (~2-year) listed history, the management-consistency read is necessarily limited.

Latest update highlights - FY26 results (announced 5 May 2026)

- **Full-year sales Rs 209 Cr, up ~43%** - the business grew almost by half in one year, the fastest jump in its history.
- **Full-year net profit Rs 39 Cr, up ~63%** (from Rs 24 Cr) - profit grew even faster than sales, so the company kept more of each rupee.
- **Q4 FY26 margin ~28.5%** - profitability held firm even as sales scaled up; no sign of margins being sacrificed for growth.
- **Fresh orders keep coming:** a Rs 78.7 Cr Indian Navy purchase order (Apr 2026) plus smaller Navy/P75 orders - real, recent evidence the order pipeline is live.
- **One watch-item:** the company disclosed a "deviation in use of funds" for the quarter to Mar 2026 - a minor governance flag worth noting for a young listed company.

Business mix & capacity (quick facts)

Domestic vs export: Effectively ~100% domestic. Over 90% of the Rs 514 Cr order book is for Indian defence PSU shipyards (mainly Mazagon Dock) and the Indian Navy. Exports are not broken out and appear negligible - in plain terms, this is an India-only defence supplier.

Customer concentration: Top 10 customers were ~97% of sales in FY25 - essentially one buyer group (the Navy via its shipyards). Plain read: great visibility, but heavy reliance on a single defence ecosystem.

Capacity: Utilization level not disclosed by the company. It runs a Khopoli (Raigad) plant dedicated to the Scorpene submarine programme and is expanding sonar work at Pune. Plain read: capacity is being added ahead of the order book, but exact usage is unknown.

3. Earning-trigger thesis

The main thing expected to grow earnings

India's push to build submarines and warships at home ("indigenisation") is CFF's engine. It sits inside the Scorpene/P75 submarine programme and is adding a second leg - sonar systems - through a tie-up with Germany's **Atlas Elektronik** to make 12 Low-Frequency Variable-Depth Sonar sets for the Navy's anti-submarine-warfare boats. An order book of **Rs 513.97 Cr (May 2025)**, **>90% from defence shipyards**, is roughly 2.5x last year's sales - so there is a large, already-won pipeline of work to convert into revenue over the next few years.

Trigger	What the record says	Evidence so far	Time horizon	Strength
Submarine/warship indigenisation (P75 Scorpene programme)	Core supplier of fluid-control & air systems to Mazagon Dock's submarine builds	FY26 sales +43%, profit +63%; fresh Navy orders in Apr 2026	Live now, multi-year	Strong - concrete, funded, already converting
Sonar / new products (Atlas Elektronik LFVDS tie-up)	Partnership to build 12 sonar sets for Navy ASW craft	Partnership signed; Pune capacity being built	Ramp over 2-3 yrs	Moderate - real but revenue not yet visible
Large order book (Rs 514 Cr)	Gives multi-year revenue visibility	~2.5x FY26 sales; new LOIs added through FY26	2-3 yr conversion	Strong - visibility is genuine

4. Management consistency scorecard

With no earnings-call transcripts, this compares what the public record (prospectus, filings, order announcements) implied vs what actually showed up in the numbers.

Period	What was signalled	What actually happened	Verdict
IPO/FPO pitch (2023-25)	Strong defence order book, scale-up on P75	Sales climbed Rs 71->Rs 107->Rs 146->Rs 209 Cr across FY23-26	Delivered
FY25 -> FY26	Order book to convert into revenue	Revenue +43%, margins held ~28%	Delivered
Cash generation	Profitable growth	Operating cash flow negative in FY24, FY25 and FY26 despite rising profit	Missed
Use of FPO funds	Fund working-capital needs	A "deviation in fund use" disclosed for Q4 FY26	Too-early / watch

Narrative drift: The growth story has stayed steady and on-message - defence, submarines, order book - and the reported numbers back it up, which is reassuring. The one crack is that **profit is not turning into cash**: operating cash flow has been negative for three straight years while profit rose, because the business ties up more and more money in unpaid bills and inventory (debtor days up to 183, cash-conversion cycle ~308 days). The company raised fresh equity (FPO, Sept 2025) partly to feed this working-capital hunger. For a company listed only since June 2023, the track record is genuinely too short to call management "proven".

5. Bottom line - two verdicts

Durable earning trigger? -> YES

There is a clear, concrete, still-live driver: India's home-built submarine/warship programme, a Rs 514 Cr order book (~2.5x sales) that is >90% already-won defence work, plus a new sonar line via the Atlas Elektronik tie-up. It is not a hope - it is already showing up as 40%+ sales growth and rising profit. This is a genuine, durable trigger.

Management consistent? -> MAYBE

On the visible scoreboard - sales, margins, order wins - management has delivered what the story promised. But two things hold this back from a clear "Yes": the company has been listed only since June 2023 (too short a record to fully trust), and, more importantly, **profits have not converted into cash** for three years running, forcing an equity raise and leaving a small fund-use "deviation" flag. Steady story, unproven cash discipline - so, MAYBE.

Overall caution for a buyer: the trigger is real, but the stock is priced richly (P/E ~44) and the business swallows cash to grow. The upside depends on the order book converting into *collected cash*, not just booked profit.